

Project Cost Management Plan

furlink

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Introduction

The Project Manager will be responsible for managing and reporting on the project's cost throughout the duration of the project. During the monthly project status meeting, the Project Manager will meet with major stakeholders to present and review the project's cost performance for the preceding month. Major stakeholders can also view the OpenProject to review and assess the performance and cost of the project. Performance will be measured using earned value. The Project Manager is responsible for accounting for cost deviations and presenting the Project Stakeholder with options for getting the project back on budget. The Project Stakeholder has the authority to make changes to the project to bring it back within budget.

Cost Management Approach

The cost management approach for furlink is designed to optimize resource allocation and maintain fiscal efficiency while ensuring the project remains viable. Given that this is an academic project without a dedicated Project Management Information System (PMIS), costs for this project will be managed at the second level of the Work Breakdown Structure (WBS). Credit for work will be assigned at the work package level on OpenProject. Progress and resource credit are managed at the work package or user story level. No partial credit is awarded for work-in-progress tasks throughout its development and testing cycle and is only granted 100% of credit upon successfully meeting the team's definition of done and passing quality assurance verification. Financial figures may be rounded to the nearest Philippine peso and work hours rounded to the nearest whole hour.

Cost variances of +/- 0.1 in the Cost Performance Index (CPI) and Schedule Performance Index (SPI) will change the status of the project to cautionary; as such, those values will be changed to yellow in the weekly project status reports. Cost variances of +/- 0.2 in CPI and SPI will change the status of the project to an alert stage; as such, those values will be changed to red in the project status reports. Reaching these alert stages will require immediate action from the Project Manager in order to bring the cost and/or schedule performance indexes below the alert levels. This change must be reviewed and approved by the project stakeholder before it can become within the scope of the project.

While the project encompasses a total calendar duration of six months, the active operational budget accounts for a 3-month billing period. The initial months of the project represented the initiation, requirements gathering, and planning phases, where there are no

cloud infrastructure, platform subscriptions, or available API fees were incurred. All development expenses and AI integration costs are calculated strictly for the remaining 3 months of active execution, testing, and deployment to optimize the project's cashflow. Throughout the span of the first three months, software platform and API usages are all strictly free tier.

The budget is segmented into *development costs*, *API costs*, and *Labor*. Where development costs cover platform subscriptions and local operational expenses, API costs for a hybrid strategy where initial development utilizes free-tier models, transitioning to a pay-as-you-go consumption, and Project labor which was calculated at a standardized flat rate across all active working months for all members of the team.

To maintain fiscal conservatism, a standard 10% contingency reserve is applied to the subtotal to absorb unexpected exchange rates, scope changes, or API token overuse.

Measuring Project Cost

Performance of this project will be measured using Earned Value Management. The following four Earned Value metrics will be used to measure project cost performance:

- Schedule Variance (SV)
- Cost Variance (CV)
- Schedule Performance Index (SPI)
- Cost Performance Index (CPI)

If the SPI or CPI has a variance of between 0.1 and 0.2, the Project Manager must report the reason for the exception. If the SPI or CPI has a variance greater than 0.2, the Project Manager must report the reason for the exception and provide a detailed corrective action plan to bring the project's performance back to acceptable levels.

Performance Measure	Yellow	Red
Schedule Performance Index (SPI)	Between 0.9 and 0.8 or Between 1.1 and 1.2	Less Than 0.8 or Greater than 1.2
Cost Performance Index (CPI)	Between 0.9 and 0.8 or Between 1.1 and 1.2	Less Than 0.8 or Greater than 1.2

Reporting Format

Reporting for cost management will be included in the monthly project status report. The Monthly Project Status Report will include a section labeled, “Cost Management”. This section will contain the Earned Value Metrics identified in the previous section. All cost variances outside of the thresholds identified in this Cost Management Plan will be reported on including any corrective actions which are planned. Change Requests which are triggered based upon project cost overruns will be identified and tracked in this report.

Cost Variance Response Process

The Control Thresholds for this project is a CPI or SPI of less than 0.8 or greater than 1.2. If the project reaches one of these Control Thresholds a Cost Variance Corrective Action Plan is required. The Project Manager will present the Project Stakeholder with options for corrective actions within five business days from when the cost variance is first reported. Within three business days from when the Project Stakeholder selects a corrective action option, the Project Manager will present the Project Stakeholder with a Cost Variance Corrective Action Plan. The Cost Variance Corrective Action Plan will detail the actions necessary to bring the project back within budget and how the effectiveness of the actions in the plan will be measured. Upon acceptance of the Cost Variance Corrective Action Plan, it will become a part of the project plan, and the project will be updated to reflect the corrective actions.

Cost Change Control Process

The cost change control process will follow the established project change request process. Approvals for project budget/cost changes must be approved by the project sponsor.

Project Budget

The budget for this project is detailed below. Costs for this project are presented in various categories:

Category	Budget
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Software and API Costs	₱38,2158.41
Labor Costs	₱360,000.00
Contingency Reserve	₱38,215.84
Total Project Cost	₱ 42,0374.26

Stakeholder Acceptance

Approved by the Project Sponsor:



Manuel R. Doria Jr.

Date: April 7, 2026

Project Sponsor Representative

